CHAPTER 9:
ADMINISTRATIVE PLAN

LEARNING OUTCOMES

1. To formulate business vision, mission & objective
2. To construct an organizational structure
3. To determine tasks and responsibilities for personnel
4. To prepare remuneration, office equipment & office supplies schedule
5. To prepare administrative budget

INTRODUCTION

- Serve as a navigational chart for the business to follow -> help everyone on board understand their duties, and it helps to ensure the company is going in the right direction.
- Ensuring the efficient performance of all departments in an organization.
- Vital component to a company's level of success to ensure the company is properly managed.

ADMINISTRATIVE PLAN

1. VISION, MISSION & OBJECTIVES
2. BUSINESS LOGO
3. ORGANIZATIONAL CHART
4. PERSONNEL ROLES & RESPONSIBILITIES
5. COMPENSATION & BENEFITS
6. OFFICE FIXTURES & FITTINGS & OFFICE SUPPLIES
7. ADMINISTRATIVE BUDGET

1. Vision, Mission & Objectives

WHAT DO YOU UNDERSTAND??

GIVE EXAMPLES…

VISION STATEMENT

- Describes the aspirations to be in the long term.
- How the business wants to be perceived by others at some future date.
- Envisions the future of the business and it helps in setting the direction of the business planning.
- What the business wants to be tomorrow

MISSION STATEMENT

- Expresses the existence of the business and what it does and what they do.
- Reflects the purpose of the business and it should be concise to be understood by stakeholders
- A statement of how entrepreneurs will achieve their purposes in the environments in which they conduct business.
- What the business does

BUSINESS OBJECTIVES

- Milestones towards achieving the business's vision and mission.
- List of goals the business wants to achieve.
- Set the direction of the entrepreneur and the organization
- Use the SMART approach (Specific, Measurable, Achievable, Realistic and Timely).


VISION
STATEMENT
A Vision Statement outlines WHERE you want to be. Communicates both the purpose and values of your business.
Where do we aim to be?
MISSION
STATEMENT
A Mission Statement talks about HOW you will get to where you want to be. Defines the purpose and primary objectives related to your customer needs and team values.
What do we do?
What makes us different?

Vision Statement

To be the largest low cost airline in Asia and serving the 3 billion people who are currently underserved with poor connectivity and high fares.

AirAsia

Mission Statement

- To be the best company to work for whereby employees are treated as part of a big family.
- Create a globally recognized ASEAN brand.
- To attain the lowest cost so that everyone can fly with Air Asia.
- Maintain the highest quality product, embracing technology to reduce cost and enhance service levels.

Mission & Vision

STARBUCKS COFFEE

Mission Statement

"To inspire and nurture the human spirit – one person, one cup and one neighborhood at a time"

Vision Statement

"The vision of Starbucks is to establish Starbucks as the premium purveyor of the finest coffee in the world while maintaining our uncompromising principles while we grow"

Vision

To be the best and leading fast food provider around the globe



Mission

McDonald's brand mission is to be our customers' favorite place and way to eat, and improve our operations to provide the most delicious fast food that meet our customers' expectations.



Mission & Vision

Domino's Pizza

VISION

"Exceptional people on a mission to be the best pizza delivery company in the world"

MISSION

"Domino's Pizza is the Pizza specialist who consistently delights the customer with great taste and choices in pizza with friendly, courteous team members providing prompt, safe delivery service"

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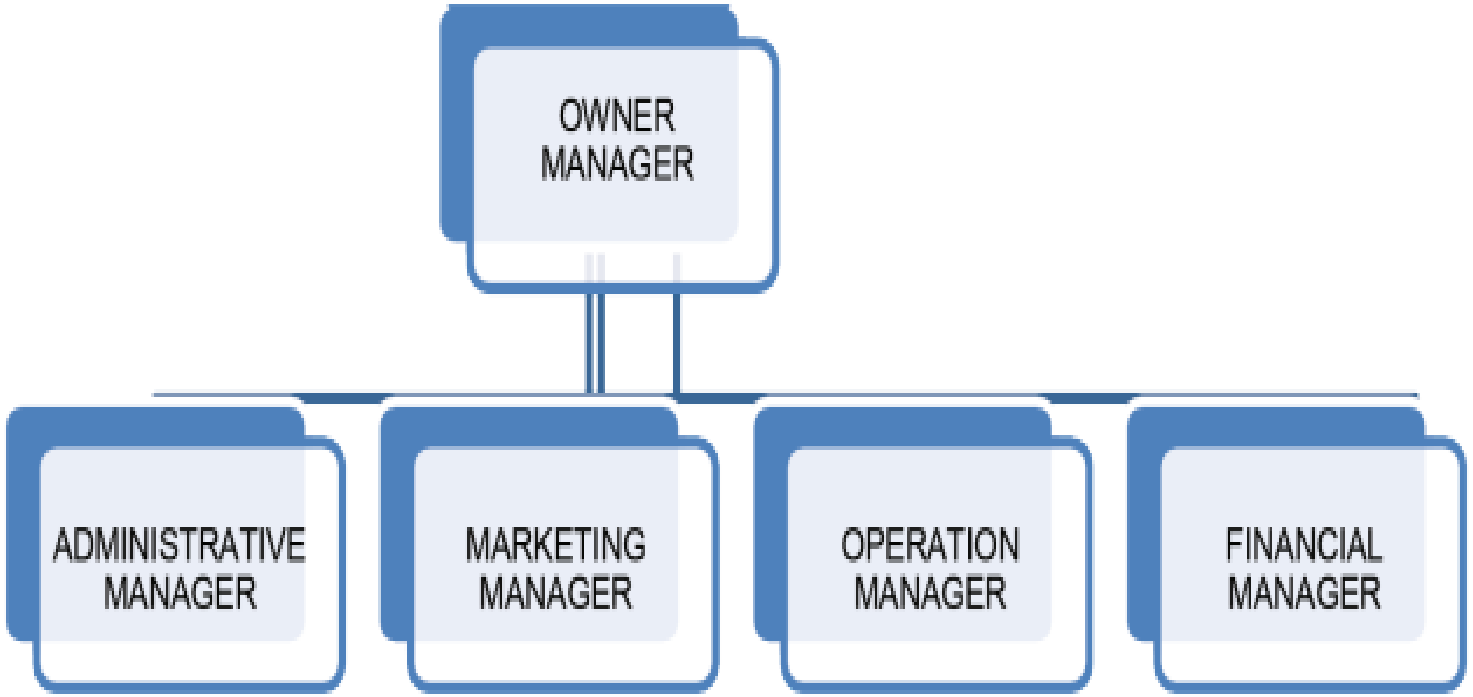
2. Business Logo

- Many businesses have their own logo.
- To distinguish from its competitors.
- Includes words, pictures, logos, names, letters, numbers or a combination of these -> has its own meaning.



3. Organizational Chart

- Indicates the hierarchy and chain of command in an organization.
- Commonly:
  - Functions
  - Shifts
  - Products
  - Regions
  - Clients



4. Roles & Responsibilities

- State main roles and responsibilities of each employee.

POSITION	NO. OF EMPLOYEE	TASKS AND RESPONSIBILITIES

POSITION	NO OF EMPLOYEE	TASK & RESPONSIBILITIES
General Manager	1	•To plan, implement and control the overall management of the business. •To be accountable for overall performance of the business.
Administration Manager	1	•Selects and assigns staff, ensuring equal employment opportunity (hiring and promotion. •Identifies training needs and ensure training are provided to employees.
Marketing Manager	1	•Responsible for managing the business marketing initiatives. •Responsible for managing the business marketing budget
Financial Manager	1	•Responsible for managing the business financial accounting. •Responsible in monitoring company budgets. •Responsible for getting financial information

5. Compensation & Benefits

- Any payment given by an employer to an employee during their period of employment.
- Provide their time, labor, and skills.
- Various forms - salary, wage, benefits, bonuses, paid leave, etc

5a. Remuneration

- The remuneration includes monthly salary or contractual wages, (daily, weekly or on project basis) and all provident fund contributions as well as work-related insurance.
- Contribution by employer: Deduction on EPF (Employee Provident Fund), SOCSO (Social Security Organisation) & EIS (Employment Insurance Scheme).
- https://www.payroll.my/
- https://foundingbird.com/my/blog/what-employers-should-know-about-epf-socso-and-eis



- Governed under the Employee Provident Fund Act 1991, EPF is a retirement saving scheme, for employees who are liable to contribute EPF in Malaysia in which the savings contributed will be managed and invested under Simpanan Konvensional or Simpanan Shariah. The saving is comprised of the employee's and employer's monthly contributions and yearly dividends earned
- There are 2 schemes that are governed under the Employees' Social Security Act 1969 – the Employment Injury Scheme that protects an employee against occupational accident or disease, and the Invalidity Scheme that insures an employee who is unable to work due to incurable or unlikely to be cured condition or death. It is compulsory for all Malaysian and permanent resident employees to register with SOCSO except for Federal and State Government permanent employees, domestic servants, and those who are self-employed. Foreign workers are protected under SOCSO as well since January 2019
- Governed under the Employment Insurance System Act 2017 and administered by SOCSO as well, this insurance protects employees aged 18 to 60 who have lost their employment except in the case of voluntary resignation, expiry of the contract, unconditional termination of the contract, completion of a project specified in a contract, retirement, and dismissal due to misconduct.

Salary:	3000.00
Bonus:	0.00
Net Salary:	**2649.35**

	Employer	Employee	Sub-Total
EPF:	390.00	330.00	720.00
SOCSO:	51.65	14.75	66.40
EIS:	5.90	5.90	11.80
Tax:		0.00	0.00
Total:	447.55	350.65	798.20

Job Title	Staff	Salary (A)	EPF (B)	SOCSO (C)	EIS (D)	Total (A+B+C+D)
General Manager	1	3,000	390	51.65	5.90	3447.55
Administration Manager	1	2,500	325	42.85	4.90	2872.75
Marketing Manager	1	2,500	325	42.85	4.90	2872.75
Financial Manager	1	2,500	325	42.85	4.90	2872.75
TOTAL	**4**	**10,500**	**1,365**	**180.20**	**20.60**	**12,065.80**

5b. Benefits

- Nonfinancial rewards given.

Monetary Value	Non-monetary value
❑ Dental and vision insurance ❑ Health insurance ❑ Life insurance ❑ Paid gym membership ❑ Retirement benefits ❑ Stock options	❑ Family leave ❑ Flexible working schedule ❑ Paid time off ❑ Training and development ❑ Use of company equipment

6. Office Furniture & Fixtures & Supplies

Furniture and fixtures

- Larger items of movable equipment to furnish an office.
- Bookcases, chairs, desks, filing cabinets, and tables.
- Categorized as fixed asset

Office Supplies

- Product used regularly in an office to perform departmental personnel's daily work
- Pens, paper, post-it notes, scissors, erasers, staplers, file folders; etc.

6a. Office Fixtures & Fittings

- List all the office fixtures and fittings necessary for the administration.

TYPE	PRICE /UNIT (RM)	QUANTITY	TOTAL AMOUNT (RM)

6b. Office Supplies

- List all the office supplies necessary for the administration.

TYPE	PRICE /UNIT (RM)	QUANTITY	TOTAL AMOUNT (RM)

7. Administrative Budget

1. Fixed Asset

- A long-term investment used in the operation to produce the product or services - Not easily converted into cash and expected to be kept at least a year.

2. Monthly Expenditure

- Known as working capital - crucial as it ensures the smooth running of a business operation - covers monthly payment.

3. Other Expenses

- Expenses that could not be categorized as fixed asset or monthly expenses

ITEMS	FIXED ASSET (RM)	MONTHLY EXPENSES (RM)	OTHER EXPENSES (RM)
Land & Building	XXXX		
Furniture & Fittings	XXXX		
Renovation	XXXX		
Salary (EPF & SOCSO)		XXXX	
Rent		XXXX	
Utilities		XXXX	
Office Supplies		XXXX	
Business Registration			XXXX
Business License/Permit			XXXX
Deposit (Rent and Utilities)			XXXX
Courses Attended			XXXX
TOTAL	**XXXX**	**XXXX**	**XXXX**

ITEM	CAPITAL EXPENDITURE (RM)	WORKING CAPITAL (RM)	OTHER EXPENSES (RM)
Office Furniture & Fittings	14,117		
Renovation	3,600		
Administration Personnel		12,065.80	
Business Registration			150
Office Stationaries			130
TOTAL AMOUNT	**17,717**	**12,065.80**	**280**

SUMMARY

- Administration plan should start by formulating business vision, mission and objectives.
- Able to plan the structure of his organization by determining tasks, number of employees, remuneration & benefits and office equipment & office supplies.
- Lastly prepare budget to see all the items and costs needed in the administrative plan



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